Cumulus Bank
Wealth management from Cumulus Bank

WEALTH MANAGEMENT · EDUCATION SAVINGS

WM-529-2026.04 · Effective April 25, 2026

PRODUCT BROCHURE · EDUCATION SAVINGS

Cumulus 529 Education Savings

A qualified tuition program under IRC §529 for families saving for a child or grandchild's higher education, K–12 tuition, apprenticeships, student-loan repayment, or Roth IRA rollover.

PROGRAM TYPE	**Qualified Tuition Program (IRC §529)**
MINIMUM CONTRIBUTION	**$25 per scheduled auto-contribution**
INVESTMENT OPTIONS	**Age-based tracks plus static portfolios**
ANNUAL GIFT EXCLUSION	**$18,000 per donor ($36,000 MFJ)**
5-YEAR SUPERFUNDING ELECTION	**$90,000 per donor ($180,000 MFJ)**
FEDERAL TAX TREATMENT	**Tax-free growth and qualified withdrawals**
STATE TAX TREATMENT	**Varies by state; deduction available in NY**
SECURE 2.0 ROTH ROLLOVER	**$35,000 lifetime / 15-year seasoning**

AT A GLANCE

Overview

A 529 plan is a state-sponsored, tax-advantaged investment account designed to help families save for qualified education expenses. Contributions grow federally tax-deferred, and qualified withdrawals are free from federal income tax. Many states also provide a state income-tax deduction or credit for contributions by their residents. Cumulus offers 529 investment advisory services in connection with plans administered by state trust programs.

Investment products are not FDIC insured, not bank guaranteed, and may lose value. Your Cumulus advisor will discuss the suitability of a 529 plan relative to your family's time horizon and tax considerations; consult your tax professional regarding the state tax benefits that may be available to you.

WHY A 529

Key benefits

FEDERAL TAX-FREE GROWTH

Federal tax-free growth

Investment earnings accumulate free of federal income tax. Qualified withdrawals are not taxed at the federal level.

STATE TAX BENEFITS

State tax benefits

Many states provide a state income-tax deduction or credit for contributions by residents. New York, for example, allows up to $10,000 deducted per MFJ return (illustrative).

HIGH CONTRIBUTION CEILING

High contribution ceiling

Plan-level aggregate limits typically range from $500,000 to $575,000 per beneficiary, permitting substantial lifetime funding.

GIFT-TAX FRIENDLY

Gift-tax friendly

Contributions qualify for the annual gift-tax exclusion, and a five-year election under IRC §529(c)(2)(B) permits front-loading up to five years of exclusions in a single year.

OWNER RETAINS CONTROL

Owner retains control

The account owner — not the beneficiary — retains control of the account, may change the beneficiary to another family member, and may elect to withdraw (subject to the non-qualified tax treatment).

FLEXIBLE USES

Flexible uses

Pay for tuition, room and board, required fees, books, supplies, and equipment at eligible postsecondary institutions; up to $10,000 per year of K–12 tuition; apprenticeship costs; and up to $10,000 of student-loan repayment (SECURE Act).

WHAT 529 FUNDS MAY PAY FOR

Qualified education expenses

EXPENSE CATEGORY	QUALIFIED?	NOTES
Tuition and mandatory fees at an eligible institution	Yes	Postsecondary: college, university, graduate, trade school.
Books, supplies, and equipment required for enrollment	Yes	Must be required by the course or program.
Room and board	Yes, if at least half-time student	Capped at the institution's published cost of attendance.
Computers, software, internet access	Yes, if used primarily by the beneficiary during enrollment	Entertainment software excluded.
Special-needs services required for attendance	Yes	Including attendants, transportation, and adaptive equipment.
K–12 tuition (public, private, religious)	Yes, up to $10,000 per beneficiary per year	Federal; some states treat K–12 tuition as non-qualified for state-tax purposes.
Apprenticeship program costs (fees, books, supplies, equipment)	Yes	Program must be registered under the National Apprenticeship Act.
Student loan repayment	Yes, up to $10,000 lifetime per beneficiary + $10,000 per sibling	SECURE Act §302.
Transportation, personal travel, extracurriculars	No	Non-qualified; subject to tax on earnings + 10% penalty.

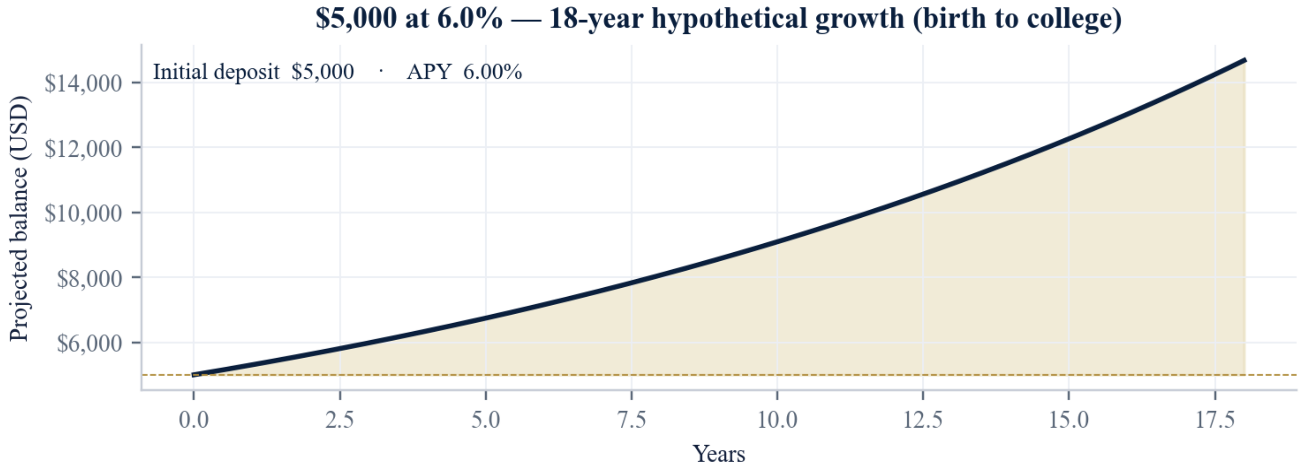
NON-QUALIFIED WITHDRAWALS

Withdrawals that are not used for qualified education expenses are subject to federal income tax on the earnings portion plus a 10% additional tax. The 10% tax does not apply when the beneficiary receives a tax-free scholarship (to the extent of the scholarship), attends a U.S. service academy, dies, or becomes disabled. State tax benefits previously received may be recaptured.

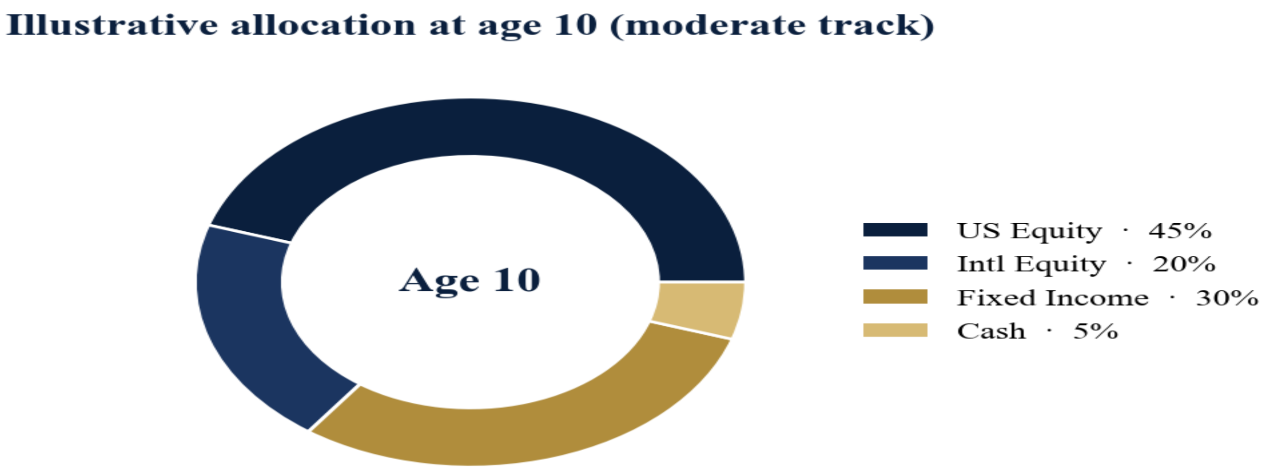
ILLUSTRATIVE GROWTH

Starting early matters

The chart below illustrates the hypothetical growth of a $5,000 opening contribution compounded at a 6.0% annualized rate over eighteen years — approximately the time from birth to college enrollment. The figure is for illustration only and does not represent the performance of any specific investment option.



Age-based portfolio glide path — illustrative



WEALTH-TRANSFER CONSIDERATIONS

Gifting and superfunding

Contributions to a 529 account are completed gifts to the beneficiary for federal gift-tax purposes. They qualify for the annual gift-tax exclusion ($18,000 per donor, per beneficiary in 2026) and may also benefit from the five-year election under IRC §529(c)(2)(B) — often called 'superfunding' — which permits a donor to treat up to five years of annual exclusions as made in a single year. No additional annual-exclusion gifts may be made to the same beneficiary in the remaining four years without generating a taxable gift. The election is made on IRS Form 709.

TECHNIQUE	PER DONOR (2026)	PER COUPLE MFJ (2026)	NOTES
Annual exclusion gift	$18,000	$36,000	No Form 709 required if under the exclusion.
Five-year superfunding	$90,000	$180,000	IRC §529(c)(2)(B) election; Form 709 required.

TECHNIQUE	PER DONOR (2026)	PER COUPLE MFJ (2026)	NOTES
Lifetime gift-tax exemption	$13.99 million (illustrative)	$27.98 million (illustrative)	Subject to scheduled 2026 sunset; consult your tax professional.

NEW FLEXIBILITY FOR LEFTOVER BALANCES

SECURE Act 2.0 — 529 to Roth IRA rollover

Beginning in 2024, Section 126 of SECURE 2.0 permits the owner of a 529 account to transfer unused balances to a Roth IRA for the beneficiary, subject to the following conditions: the 529 account must have been maintained for at least 15 years; amounts contributed (and earnings on those amounts) within the preceding five years may not be rolled; the rollover is subject to annual Roth IRA contribution limits for the beneficiary; and the aggregate lifetime rollover is limited to $35,000 per beneficiary.

529-TO-ROTH ROLLOVER — PLAIN ENGLISH

Up to $35,000 of leftover 529 balance can eventually land in the beneficiary's Roth IRA, tax-free, provided the 529 is at least 15 years old and the beneficiary has earned income. The rollover is subject to that year's Roth IRA contribution limit (not the MAGI phase-out), so it typically takes five or more years to move the full $35,000.

OWNERSHIP, BENEFICIARIES, CHANGES

Account mechanics

Who owns, who benefits

— Any U.S. adult with a Social Security Number may open a 529 for any beneficiary; the beneficiary need not be related.

— Grandparents, other relatives, and non-relatives may all own accounts for the same child simultaneously.

— A successor owner may be named so that ownership passes automatically on death, bypassing probate.

— Federal financial-aid treatment of grandparent-owned 529s improved under the FAFSA Simplification Act — distributions are no longer treated as student income.

Beneficiary changes

— The account owner may change the beneficiary to a 'member of the family' of the current beneficiary (IRC §529(e)(2)) without federal income or gift-tax consequences.

— 'Family' includes spouse, children, siblings, parents, in-laws, cousins, nieces, nephews, and aunts and uncles.

— Changing a beneficiary to a younger generation may trigger generation-skipping transfer-tax considerations.

— Investment option changes are permitted twice per calendar year and upon any beneficiary change.

COMMON QUESTIONS

Frequently asked questions

Is a 529 better than a UGMA/UTMA or a Coverdell ESA?

It depends. A 529 offers higher contribution ceilings, broader state tax benefits, and retention of owner control relative to a UGMA/UTMA (which becomes the beneficiary's property at majority). Coverdell ESAs have a $2,000 annual limit and income phase-outs. Your Cumulus advisor can compare the options for your family.

What happens if my child receives a scholarship?

You may withdraw an amount equal to the scholarship without paying the 10% additional tax; the earnings portion is still subject to ordinary income tax. Alternatively, keep the funds in the account for graduate school, future siblings, or — subject to the SECURE 2.0 conditions — a Roth IRA rollover.

What if my child does not attend college?

You have several options: change the beneficiary to a family member; hold the account for a future grandchild; use up to $10,000 lifetime for qualified student-loan repayment; use up to $35,000 lifetime for a SECURE 2.0 Roth IRA rollover; or take a non-qualified withdrawal (subject to ordinary income tax and the 10% penalty on earnings).

Does contributing to a 529 affect financial aid?

Parent-owned 529 accounts are treated as parent assets on the FAFSA and are assessed at a maximum of 5.64%. Following the FAFSA Simplification Act, grandparent-owned distributions no longer count as student income. Institutional aid formulas may treat 529s differently.

How are investment options organized?

Two categories: age-based tracks that automatically glide toward more conservative allocations as the beneficiary approaches college enrollment; and static portfolios that maintain a fixed allocation (Conservative, Moderate, Aggressive). You may change investment options twice per calendar year.

NEXT STEPS

Speak with a Cumulus wealth advisor

A Cumulus advisor will review your objectives, time horizon, and tax considerations; explain the products and services available to you; and deliver a written proposal. Requests received today are typically returned within one business day.

ADVISOR LINE	954.417.2880 Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET
ONLINE	cumulusbank-demo-bb054209d76d.herokuapp.com Apply online, review rates, or schedule an appointment.
PRIVATE OFFICE	Wealth Management offices are available by appointment. Request a meeting at cumulusbank-demo-bb054209d76d.herokuapp.com/wealth.